ECONOMIC SURVEYS

I. 2. b. 4.

UNITED KINGDOM

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JUNE 1965

BASIC STATISTICS OF THE UNITED KINGDOM

THE LAND

Area (1,000 sq.km.)	244
Agricultural area (1,000 sq.km.)	197

Major cities (population in millions mid-1963) :

— Greater London	8.2
— Birmingham	1.1
— Glasgow	1.0
— Liverpool	0.7
— Manchester	0.7

THE PEOPLE

Population (mid-1964)	54,066,000
No. of inhabitants per sq.km	222
Net natural increase in population, 1960-64 :	
Annual average	340,000
Annual average per 1,000 inhabitants	6
Civilian labour force, June 1964	24,458,000
Employment in manufacturing industries, June 1964	8,838,000

PRODUCTION

Gross national product in 1964 (millions of £, market prices)	32,639
GNP per head in 1964 (U.S $)	1,690
Gross fixed investment, 1963 :	
— per cent of GNP	16.3
— per head (U.S. $)	256

Origin of GDP at factor cost (1963) :

— Agriculture, Forestry and Fishing	4
— Industry	40
— Construction	6
— Services and distribution	50

THE GOVERNMENT

Public current expenditure 1963 (percentage of the GNP)	17
General Government current revenue 1963 (percentage of the GNP)	31
National Debt 31st March 1963 (ratio to General Government revenue)	321

Composition of House of Commons (15th October 1964) :

— Labour	317
— Conservatives	304
— Liberals	9

Last general election : 15th October 1964.

LIVING STANDARDS

Calories per head, per day, 1960-62	3,250
Consumption of energy per head 1962 (metric tons of coal equivalent)	5.00
Average weekly earnings of men in industry, October 1964	362s.2d.
No. of passenger cars in use per 1,000 inhabitants (1962)	123
No. of telephones per 1,000 inhabitants (1962)	161
No. of television sets per 1,000 inhabitants (1962)	229

FOREIGN TRADE

Exports :

Exports of goods and services as a percentage of the GNP (average 1960-64).	19
Main exports (percentage of total exports in 1964) :	
— Machinery	27
— Transport equipment	15
— Chemicals	9
— Textiles	6
— Iron and steel	5
— Petroleum and petroleum products.	2

Imports:

Imports of goods and services as a percentage of the GNP (average 1960-64).	20
Main imports (percentage of total imports in 1964):	
— Petroleum and petroleum products	10
— Machinery	8
— Meat	6
— Non-ferrous metals	6
— Fruit and vegetables	5
— Textile fibres, not manufactured	5

THE CURRENCY

Monetary unit: pound sterling.

Currency units per U.S. $ 0.357

ECONOMIC SURVEYS BY THE OECD

UNITED KINGDOM

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Last winter's balance of payments crisis was the most severe since the end of the period of post-war reconstruction. It occurred barely two years after the United Kingdom authorities had begun to reflate the economy in 1962. Thus the period between the resumption of expansion and the serious weakening of the balance of payments was no longer than in the 1959-61 experience. Such a result is particularly disappointing in as much as, after 1961, a prime object of policy was to break with the past history of recurrent balance of payments crises and to achieve a steady rate of balanced growth.

Even before the present crisis, the balance of payments of the United Kingdom had shown marked weakness for many years; and this is one reason why the crisis was so severe. The problems raised therefore relate not only to the management of demand in the short-term, but the general strategy of policy to deal with the underlying situation which will require a continued effort maintained over years.

The first part of this survey analyses the origins of last winter's balance of payments crisis. The second part discusses both short-term prospects and the major issues for policy.

I. THE ORIGINS OF THE CRISIS

a) *Historical background*

Underlying the two most recent periods of acute payments difficulties (1960-61 and 1964) has been a rather consistent general weakness of the external balance. Over the seven-year period from 1958 to 1964, the cumulative current account was just in balance; that is, the current account made no contribution to the financing of long-term capital exports which averaged about £ 175 million a year during the same period (Table 1). The balancing item (errors and omissions) was on average positive by about £ 50 million in 1958-1963, representing unrecorded receipts on current and long-term capital accounts. This reduces somewhat the gap between the recorded balances but does not greatly change the general picture. This rather mediocre result was accompanied by a growth of the volume

TABLE 1. BASIC BALANCE OF PAYMENTS

£ *million.*

	1958[1]	1959	1960	1961	1962	1963	1964	(ANNUAL AVERAGE) 1958-64
Trade balance	+ 41	— 116	— 404	— 149	— 98	— 80	— 553	— 194
Invisibles (net)	+ 304	+ 256	+ 129	+ 127	+ 188	+ 176	+ 179	+ 194
Current account	+ 345	+ 140	— 275	— 22	+ 90	+ 96	— 374	—
Official long-term capital (net)	— 50	— 124	— 102	— 45	— 104	— 105	— 120	— 93
Private long-term capital (net)	— 142	— 135	— 86	+ 95	— 3	— 69	— 251	— 84
Balance of long-term capital	— 192	— 259	— 188	+ 50	— 107	— 174	— 371	— 177
Balance of current and long-term capital transactions	+ 153	— 119	— 463	+ 28	— 17	— 78	— 745	— 177

1. Not necessarily comparable with data for subsequent years.

Source : Preliminary Estimates of National Income and Balance of Payments 1959 to 1964.

of GNP of about 3 per cent a year on an average. The present phase of expansion began from a low current account surplus of £ 90 million in 1962.

Export performance has been rather consistently unsatisfactory although world demand conditions have been generally buoyant. Exports of manufactured goods — which make up the bulk of United Kingdom exports — have risen less fast than those of the other major industrial countries taken as a whole, so the United Kingdom's share of such trade has declined steadily (Table 2). Special circumstances such as an un favourable market or product structure do not seem to account for much of this decline.

The United Kingdom's official gold and foreign currency reserves in mid-1964 (before they began to reflect the deterioration of the balance of payments) were under £ 1,000 million, and lower than seven years earlier. The United Kingdom was the only major developed country — apart from the United States — not to increase its reserves during those years. A major strengthening of the United Kingdom's reserve position would have been desirable.

In short, the balance of payments appears to have been a major constraint upon growth in the United Kingdom in recent years. Periodically, when demand has been allowed to rise particularly rapidly, the worsening of the foreign trade account has required rather severe deflationary measures to restore equilibrium. Some of the failures of the balance of payments

may be blamed on failures of demand management policy. But the persistence of an unsatisfactory underlying balance of payments position on an average of fair years and bad, points to more deep-seated factors.

TABLE 2. EXPORTS OF MANUFACTURES

Percentage.

	ANNUAL RATE OF CHANGE		U.K. SHARE IN « WORLD » TOTAL	CHANGE IN PER CENT SHARE
	U.K.	11 MAIN EXPORTERS		
1958	— 2.0	— 1.5	17.7	
1959	+ 4.6	+ 8.0	17.2	— 0.5
1960	+ 6.6	+ 15.5	15.9	— 1.3
1961	+ 3.9	+ 5.4	15.7	— 0.2
1962	+ 2.4	+ 6.1	15.1	— 0.6
1963	+ 6.7	+ 8.4	14.9	— 0.2
1964	+ 5.0	+ 14.5	13.7	— 1.2

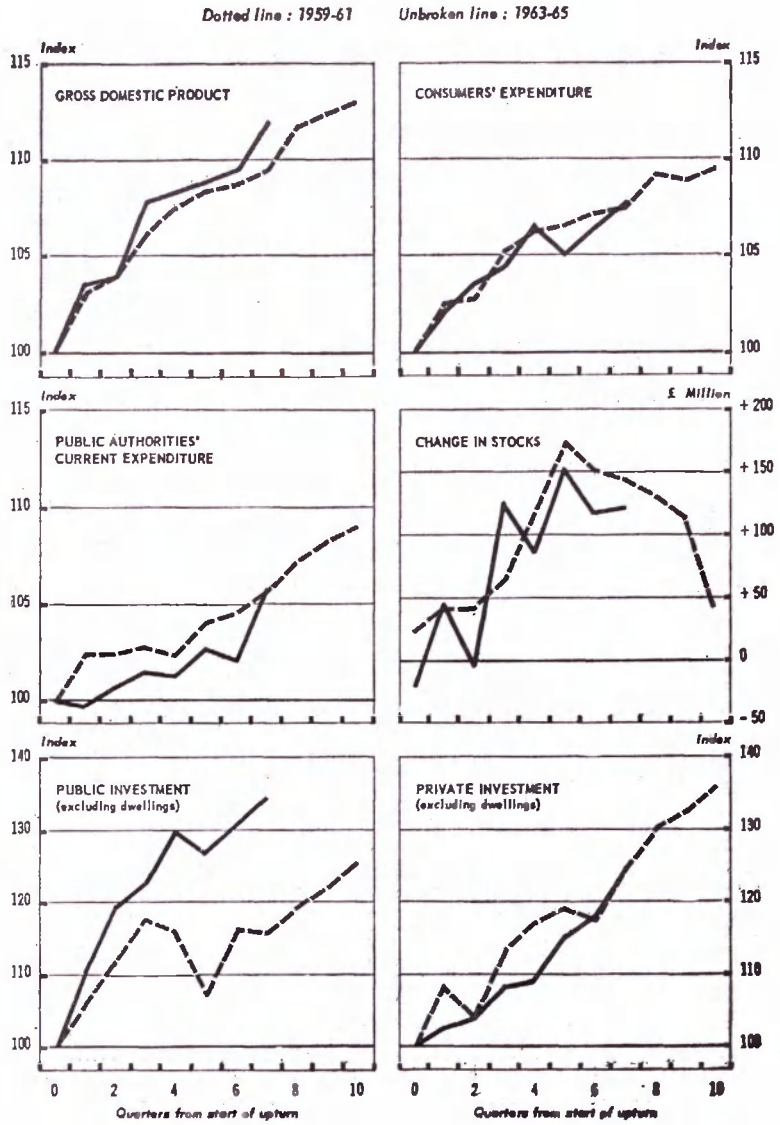
Source : Board of Trade.

b) *The Domestic Economy, 1963-1965*

Output trends during the expansion, as revealed by the available indicators, need to be interpreted rather cautiously. But GNP seems to have risen by about 7 per cent in volume from the fourth quarter of 1962 to the fourth quarter of 1963[1] and by some 3.5 to 4 per cent during the following twelve months. During part of 1964 output, as revealed by the national accounts and the index of industrial production, appears virtually to have levelled out; but there was a quite substantial rise in the last quarter of the year which continued in the spring of 1965. The economy had been expanding for a period of only two years when the balance of payments crisis became clearly acute in the last quarter of 1964. This was even shorter than the previous upswing that began at the end of 1958. Apart from this, the trend of overall demand, and its main components, was rather similar in the two periods (see diagram). During the twelve months to the end of 1959 the rise in output was over 7 per cent; it then slowed down to under 3 per cent, and full capacity had been reached by the end of 1960. By mid-1961 the expansion had come to an end following the measures of retrenchment called for by the need both to reduce the excessive level of demand and to correct the external deficit.

1. After adjustment to eliminate the effects of bad weather in the base period.

Diagram 1. COMPARISON OF THE TWO INDICES BASED ON FIRST

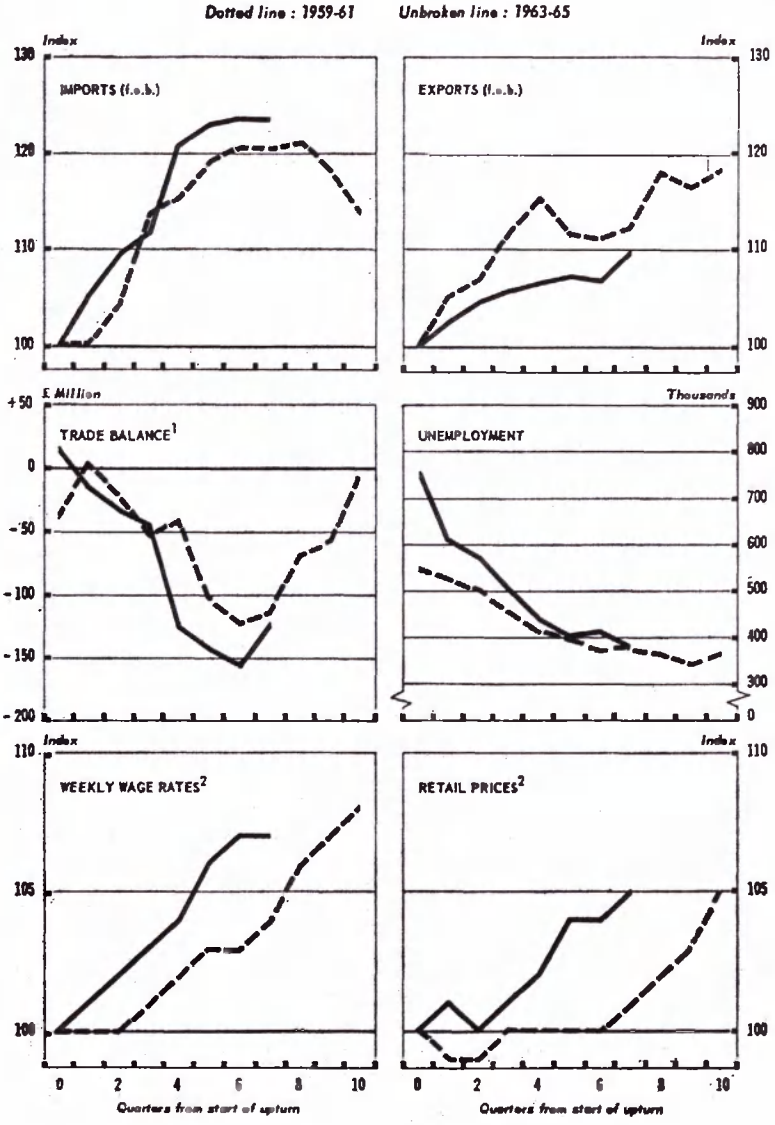


Sources : Economic Trends, NIESR Review and London and Cambridge Economic Bulletin.

NOTE. Series are seasonally adjusted unless otherwise indicated ; National Accounts series are based on data at constant 1958 prices.

EXPANSIONS OF 1959-1961 AND 1963-1965

QUARTERS OF 1959 AND 1963



1. Imports (f.o.b.) less exports (f.o.b.).
2. Not seasonally adjusted.

In 1963, the most buoyant sector of domestic demand was private consumption; but, in 1964, the main expansionary role was taken over by investment expenditure. Consumer expenditure rose rapidly in 1963 (by 4.25 per cent in volume) and again in 1964 (3.25 per cent). Investment expenditure began to increase during 1963 and the upswing gathered momentum in the following year, when the rise was 16 per cent. From the autumn of 1963 onwards, each successive survey of business investment intentions revealed an upward revision in response to improving demand prospects. Public investment — excluding housing — was on a rising trend in 1963 (+ 7 per cent) and increased more rapidly still in 1964 (+ 15 per cent). Investment in housebuilding was much higher in 1964 than in the previous year (by 25 per cent but bad weather early in 1963 had slowed down building activities for some months and this raised somewhat the 1964 figure).

It had been expected that, when growth was resumed, a substantial increase in stocks would be required which would call for higher imports. In the event, between mid-1963 and the end of 1964, when stockbuilding levelled out, the rise was rather less than during the 1959-60 upswing (see diagram). And early in 1965 the ratio of stocks to output was still rather low by past standards.

The present phase of expansion, like the previous one, was largely induced by policy measures. From the reduction of Bank rate in March 1962 to the budget in April 1963, a series of reflationary measures were taken, directed at stimulating both consumption and investment demand. Taking together the reductions in direct taxes in April 1963, and the cuts in purchase tax and relaxation of hire purchase conditions during the previous ten months, it appears that the primary effect of the measures was probably to stimulate consumer demand by about 2 per cent, very much the same as in 1958-59.

Apart from the direct stimulus of faster growth of consumer expenditure, private investment was encouraged by a 50 per cent increase in the investment allowance. Public investment programmes also were substantially increased during 1962, and again in 1963, in line with the targets put forward by the National Economic Development Council for the period 1961-66.

By early 1965 the expansion had reduced the margin of unused resources to a level comparable with that in previous periods of peak demand such as early 1961. Unemployment was below 1.5 per cent, job vacancies were high and industrial enquiries revealed little scope for further increased production from existing capacity.

Thus in both periods of expansion (1959-61 and 1963-65) the response of consumption and investment to reflationary measures was very lively; the expansion of investment however occurred up to twelve months later than the upturn in consumption. There was a period of about a year

during which the rate of increase of output was nearly double the normal growth of production potential and, therefore, unsustainable. The upswing of demand that was induced by reflationary measures produced both supply bottlenecks and serious pressure on costs, particularly labour costs. The coincidence during 1964 of exceptionally buoyant investment demand in both the private and public sectors brought the investment goods industries under particularly heavy pressure. The rapid worsening of the balance of payments in 1964 was in large measure the reflection of these domestic trends.

In retrospect then, the expansionary policy measures taken at the beginning of the expansionary phase must clearly be judged to have been excessive. That they were so was not apparent to many observers at the time[1]. It is probably an important lesson for the future that the effects of expansionary — and, presumably also, of contractionary measures — are larger than they seem. Some of the effects are indirect, and some of the secondary repercussions are delayed.

c) *Balance of Payments*

It had been widely expected in 1963 that the resumption of growth would entail some worsening of the balance of payments position. The United Kingdom authorities hoped that this would be only temporary, due in large measure to an upsurge in demand for imports for restocking, and would right itself quickly enough for the deficit to be financed either out of the reserves or by moderate borrowing e.g. from the I.M.F. In the event, the widening of the deficit on current account that took place during 1964 went far beyond this, requiring urgent corrective measures and massive borrowing at the end of the year to defend the exchange rate.

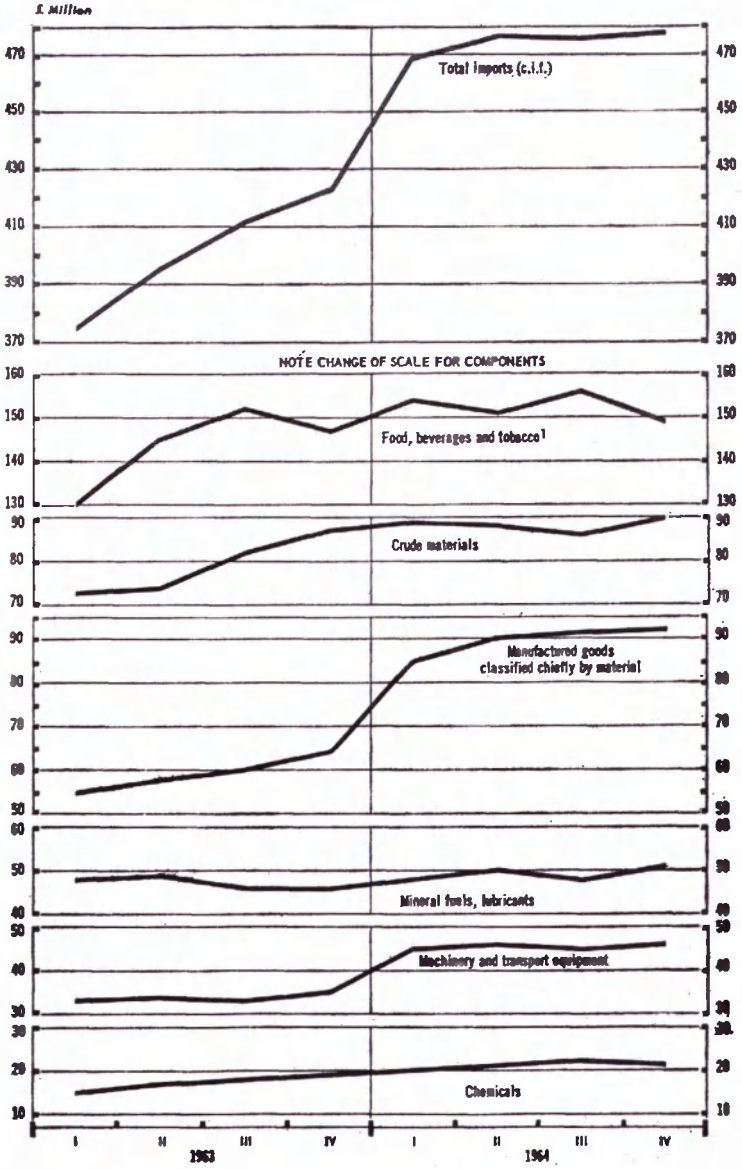
A major point to bear in mind, with important policy implications for the immediate future, is that even at the start of the present upswing in 1962 the balance of payments position was one of only moderate ease. Fortunately, 1963 was one of the best export years the United Kingdom had known for a considerable time: exports rose rather faster than imports so the trade balance improved moderately. But net invisible receipts fell slightly and the current account surplus in 1963 was practically the same as in the previous year. Once again, therefore, it was insufficient to finance the net outflow of long-term capital. The combined current and long-term capital account showed a deficit of £ 78 million in that year.

In 1964 the merchandise trade deficit widened sharply to £ 553 million, the largest post-war deficit except that during the Korean crisis in 1951. The net outflow of long-term capital also rose sharply, and the combined current and long-term capital account deficit in 1964 was £ 745 million

1. For example, the Annual Survey of the United Kingdom by the OECD in 1963, paragraph 57.

Diagram 2. UNITED KINGDOM IMPORTS - SELECTED CATEGORIES

MONTHLY AVERAGES, SEASONALLY ADJUSTED



1. Including animal and vegetable oils and fats.

Source : Report on Overseas Trade.

(it would have been £ 807 million if debt servicing on post-war loans from the United States of America and Canada had not been postponed).

Stock cycles have been important for the size of the import bill. Taking a run of years, the net effect should be small. But as stocks tend to be run down when domestic demand is weak and to increase when demand revives, imports for stock-building exert a destabilising influence on the balance of payments. In 1964, investment in stocks was very high, though less than in 1960; and perhaps between £ 100 and £ 150 million of the rise in imports in 1964 was the result of abnormal stock-building.

The net outflow of long-term capital in 1964 was considerably higher than for a number of years — £ 200 million higher than in 1963. Of this the largest rise was in private long-term capital. Direct investment rose substantially partly because of the acquisition by Royal Dutch/Shell of an interest in the Italian firm Montecatini (£ 60 million). Portfolio investment in the United Kingdom by foreigners changed from a net inflow in 1963 to a net outflow in 1964 (Table 3).

TABLE 3. PRIVATE LONG-TERM CAPITAL[1] IN THE BALANCE OF PAYMENTS

£ million.

	1961	1962	1963	1964
1. *Direct*[2]:				
— abroad	— 226	— 205	— 252	— 262
— in the U.K.	+ 236	+ 130	+ 160	+ 180
2. *Portfolio*:				
— abroad	+ 4	+ 12	— 16	— 21
— in the U.K.	+ 115	+ 64	+ 31	— 36
3. *Other*[2]:				
— abroad	— 99	— 60	— 70	— 140
— in the U.K.	+ 65	+ 56	+ 78	+ 28
Total (net)	+ 95	— 3	— 69	— 251

1. Net of disinvestment.
2. Excludes investments by oil companies, included in « Other ».
Source : Balance of Payments White Paper.

In 1963 the effect of the deficit on the reserves had been cushioned by the increase in sterling liabilities, and the reserves fell only moderately (£ 53 million). Sterling liabilities to sterling area countries rose by £ 170 million, those to non-sterling countries fell by £ 37 million. In the first half of 1964, sterling area countries again increased their reserves (by over

£ 120 million). Despite the greatly increased balance of payments deficit the United Kingdom reserves even showed a small rise in the half year.

The situation was radically transformed in the second half-year. The deficit on current and long-term capital (including the balancing item) rose to almost £ 500 million and its financing required massive recourse to official borrowing abroad. At the same time the previous trend in sterling holdings of the rest of the sterling area was reversed: sterling countries drew down their holdings by nearly £ 170 million, following a less favourable balance of payments position in a number of them. In the third quarter, there was a large rise in sterling liabilities to non-sterling area countries; but there was a large-scale withdrawal of funds from London in the fourth quarter.

From September to November the credits made available by the Federal Reserve Bank of New York ($ 500 million resulting from a swap arrangement in existence since May 1963), together with a further $ 500 million put up by other foreign central banks, were used to defend sterling. In October, the government imposed a temporary import charge of 15 per cent on about one-third of imports (mainly semi-manufactured and manufactured products). At the same time, an export rebate, estimated to represent 1.5 per cent of the value of exports, was announced. A severe crisis of confidence in November culminated in a massive short-term support operation by foreign monetary authorities, who placed $ 3 billion, mainly short-term, at the disposal of the United Kingdom. Before the end of the month $ 200 million of this sum had been used. On 2nd December, $ 1 billion were drawn from the International Monetary Fund and used to repay outstanding debts under the pre-November support arrangements. In addition, Switzerland — which is not a member of the I.M.F. — supplied a bilateral 3-year credit for the equivalent of £ 28 million, of which nearly £ 18 million were used immediately to repay an earlier loan outstanding since 1961. During December a further $ 325 million of the $ 3 billion November credits were used.

Despite this support for sterling and the Government's measures to deal with the crisis, in particular the raising of Bank rate from 5 to 7 per cent, there was no very marked return of confidence. The volume of spot sales of sterling declined in December, but although the Bank of England intervened actively to support forward sterling, the latter remained weak. During the first three months of 1965 the United Kingdom authorities drew further on the sums made available by other countries. Various influences unsettled the markets in January, but in February there was a strengthening of sterling and the reserves rose after repaying some assistance. Less settled conditions returned in March, when the effects of the U.S. measures were also felt. But after the budget in April sterling recovered and some of the previous loss of reserves was recouped.

The expansion that began in 1963, like the previous upswing in 1959-1960, thus led within less than two years to a serious balance of payments crisis. These two periods and the intervening two years during which there was an improvement in the balance of payments, are compared in Table 4. The rise in imports, though very substantial in each case, was notably larger in value between 1962 and 1964, but smaller in terms of volume.

TABLE 4. CHANGES IN THE BALANCE OF PAYMENTS

	IMPORTS	EXPORTS	TRADE BALANCE	OF WHICH: DUE TO PRICE CHANGES	NET INVISIBLES		CURRENT ACCOUNT	LONG-TERM CAPITAL
					PRIVATE[1]	PUBLIC		
I. *£ million :*								
1958 to 1960 ..	+ 771	+ 326	— 445	+ 80	— 113	— 62	— 620	— 4
1960 to 1962 ..	— 45	+ 261	+ 306	+ 176	+ 136	— 77	+ 365	— 81
1962 to 1964 ..	+ 932	+ 477	— 455	— 232	+ 59	— 68	— 464	— 264

	IMPORTS		EXPORTS	
	VALUE	VOL.	VALUE	VOL.
II. *Percentages :*				
1958 to 1960 ..	+ 21	+ 21	+ 12	+ 9
1960 to 1962 ..	— 1	+ 1	+ 7	+ 4
1962 to 1964 ..	+ 27	+ 16	+ 16	+ 10

1. Includes government debt servicing.
Source : Economic Trends and Report on Overseas Trade.

Import prices rose by 8 per cent between 1962 and 1964, while between 1958 and 1960 there was a fall of one per cent. Export prices also rose faster in the most recent period (5 per cent compared with one per cent), but the volume changes in the two periods were very similar.

A striking feature of the pattern of imports in recent years has been the very substantial increase in purchases of all types of manufactured products[1]. (Table 5 and diagram.) Imports of consumer goods, which increased by only 8 per cent in value in 1962, rose by 23 per cent in each of the two subsequent years. The lag in the investment boom meant that capital goods imports rose by only 8 and 2 per cent in 1962 and 1963, but by 31 per cent in 1964. A number of factors common to many countries

1. The rise in food imports between 1962 and 1964 shown in the table was mainly a price effect.

TABLE 5. IMPORTS

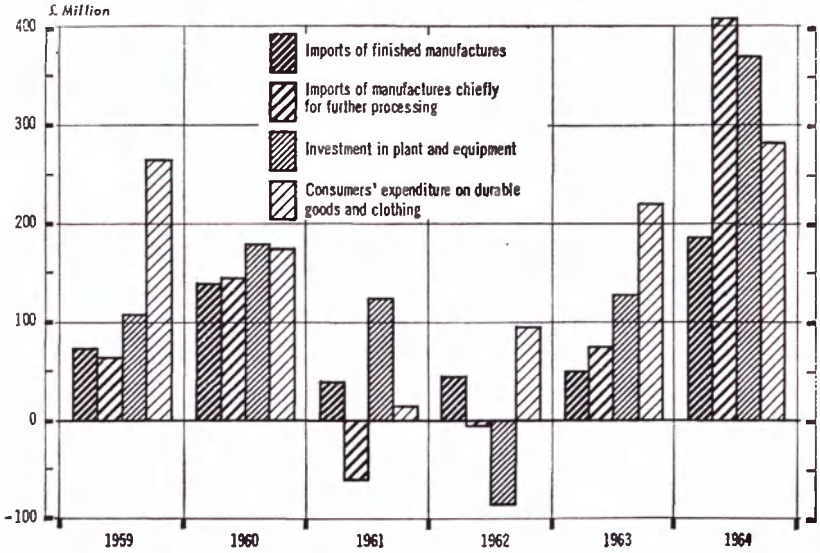
£ million absolute changes.

	1958-60	1960-62	1962-64
Food, beverages and tobacco	+ 51	+ 29	+ 204
Crude materials[1]	+ 174	— 155	+ 194
Mineral fuels, etc.	+ 41	+ 52	+ 52
Chemicals	+ 55	— 3	+ 79
Manufactures classified chiefly by materials	+ 253	— 63	+ 404
Finished manufactures	+ 214	+ 84	+ 237
Miscellaneous	+ 4	+ 2	+ 44
Total	+ 793	— 54	+ 1,214

1. Including animal and vegetable oils and fats.
Source : Board of Trade.

Diagram 3. IMPORTS, INVESTMENT AND CONSUMERS' EXPENDITURE

ANNUAL CHANGES, CURRENT PRICES



Source : Economic Trends, Report on Overseas Trade.

such as increased specialisation and the spread of tastes for foreign consumer goods, no doubt account for part of the rise in imports. But supply difficulties are likely to have been important in 1964 as regards capital goods, given the magnitude of the upsurge in plant and equipment expenditures; and the inability of United Kingdom producers to match competition from foreign producers no doubt played a role. As to consumer goods, since domestic industry does not appear to have been overstrained last year, lack of available capacity was probably not a contributory factor.

The rate of economic growth that the United Kingdom will be able to sustain in the years ahead is likely to depend, very directly, on the relationship between demand for imports and the trend of exports. In 1963, the National Economic Development Council suggested that its 4 per cent annual medium-term growth target for GNP would call for a volume increase of over 4.5 per cent a year in imports of goods, a rather more favourable relation than that observed in the past. To match this, and also to make some provision for improving the overall balance of payments position, it was suggested that exports would have had to grow by over 5 per cent a year in volume terms or twice the trend rate over the last decade. In fact, since 1961, imports have risen by about 6 per cent in

TABLE 6. CENTRAL GOVERNMENT TRANSACTIONS ON A NATIONAL ACCOUNTS BASIS

£ million : fiscal years.

	1964-65		1965-66
	BUDGET ESTIMATE	OUT-TURN	BUDGET ESTIMATE
1. *Current account :*			
Receipts	9,030	9,344	10,508
Expenditures	8,694	8,651	9,508
Surplus	336	693	1,000
2. *Capital account :*			
Receipts	387	397	344
Expenditures	1,436	1,445	1,922
Balance	—1,049	—1,040	—1,578
Balance on current and capital account = borrowing requirements	713	355	578

Source : Financial Statement.

volume — not far from twice the rate of growth of GNP — whilst exports have increased only fractionally faster than GNP. If the ceiling to the growth rate of GNP were to be fixed by the command over imports of a continuation of the present trend of exports, the permissible rate would then be notably lower than 4 per cent and lower than the present potential growth rate (3 to 3.5 per cent). The balance of payments appears as the major constraint limiting the growth of the economy at the present time.

II. PROSPECTS AND PROBLEMS

1. *Short-term prospects*

The budget introduced last April was designed to deflate domestic demand sufficiently to make room for the expected improvement in the current account of the balance of payments, and to reduce the net outflow of long-term capital by at least £ 100 million a year.

a) *Internal*

Two major tax reforms were announced. A new single corporation tax is to replace, with effect from April 1966, the present combined profits tax and income tax on company profits. The new tax is intended to encourage re-investment of profits. The capital gains tax introduced in 1962 has been considerably extended; but the yield from the tax is not expected to be substantial for some time to come.

Increases in revenue this year and next are to come mainly from other changes in taxation. Higher taxes on drink and tobacco (£ 127 million in a full year) and increased cost of vehicle licences (£ 54.5 million in a full year) were announced together with a disallowance for tax purposes of most of business expenditure on entertainment and a reduction in the allowance for business cars (£ 34.5 million in a full year). It is estimated that these measures will yield £ 164 million extra revenue in the present financial year and £ 217 million next year (depending on the yield from the capital gains tax).

Other measures affecting the budget judgement this year are the higher postal charges announced prior to the budget (£ 32 million) and the decision to stop work on the TSR-2 military aircraft (£ 35 million saved in 1965-66). Despite this reduction, the total increase of 10 per cent, or £ 750 million in expenditure this year is substantial.

A view of the overall impact of policy measures upon domestic demand should take into account the measures announced last November. In

addition to the import charge and the export rebate already mentioned, the petrol tax was increased (£ 93 million in a full year) and, with effect from April 1965, income tax was raised (yielding about £ 148 million, of which about 70 per cent will be from persons and the rest from companies). New higher rates for social insurance benefits and the removal of the National Health charge for doctors' prescriptions (£ 345 million) and

TABLE 7. CHANGES IN DEMAND AND SUPPLY

£ million at 1958 prices, seasonally adjusted.

	1963 2nd HALF	1964 2nd HALF	PERCENTAGE INCREASE	PERCENTAGE CONTRIBUTION TO INCREASE IN GDP[1]
Exports of goods and services	2,801	2,884	3	13
Fixed investment	2,434	2,731	12	47
Stockbuilding	125	243	..	19
Public authorities' consumption	2,107	2,167	3	10
Consumers' expenditure	9,152	9,408	3	41
Total final expenditure	16,619	17,433	5	130
less imports of goods and services	2,961	3,147	6.5	— 30
Gross domestic product at market prices[1]	13,658	14,286	4.5	100

1. Based on expenditure data. Includes taxes on expenditure levied on imports.
Source : Economic Trends.

increased National Insurance contributions (£ 274 million) came into force in April.

The combined initial impact upon demand of the restrictive November and April measures will, of course, be less than the net overall revenue effect because only part of the increases will be borne by consumers, at least in the first instance; and because consumers are likely to finance out of savings part of increased taxes that fall on them. The measures which took effect in October and November (the revenue effect of the import charge and the petrol tax) were intended to offset the impact of the import charge and the export rebate in diverting resources from the home market. The measures that came into effect in April (income tax and changes in social security benefits and contributions) probably had little net effect upon consumer demand in the first instance, increased taxes being balanced by increased social transfers. The immediate effect on the consumer demand of the April budget measures will be less than the £ 217 million increase in the full-year revenue yield, perhaps about three-quarters of that figure;

but later " multiplier " and other indirect effects may eventually be as important again.

Monetary policy was tightened in 1964 and again in 1965. In November, Bank rate was raised to the crisis rate of 7 per cent and remained at that rate until June, when it was reduced to 6 per cent. In December, the banks were asked to be selective in lending. When it appeared in April that these measures were not leading to sufficient slowing down of bank advances, the Bank of England called for special deposits, to be paid in two instalments before 16th June, amounting to one per cent and 0.5 per cent from the London clearing banks and the Scottish banks respectively. The Bank of England also indicated to the banks and other comparable financial institutions that advances should not rise by more than 5 per cent during the year to March 1966. The heavy withdrawal of foreign funds from London has been an additional factor adding to the cost of borrowing which has obliged some borrowers — notably the local authorities — to turn to more expensive sources of credit. The position of the building societies has become more difficult; the rise in interest rates has led them to raise their lending rates and this may affect private housebuilding. In the early months of the year, hire-purchase debt continued to rise moderately and the minimum deposits for cars and certain household goods were raised in June.

Most of the new tax measures introduced since last November will operate through higher prices to consumers and businesses. So some part of the rise in prices that is inevitable this year will be the result of policy. But it is unlikely to be possible to avoid a still more substantial rise in prices due to the increases in industrial costs that took place in 1964, and which appear likely to be repeated this year. Import prices are likely to fall this year. Nominal incomes were rising considerably faster than real output in 1964 and the rise in wages and salaries appears to have accelerated this year. Hourly wage rates during the most recent three-months period for which data are available (March-May 1965) were 5.4 per cent higher than a year earlier; but because of " wage drift " — which was nearly 2.5 per cent during 1964 — actual earnings are no doubt rising much faster. The average increase, in terms of hourly rates, agreed in collective bargaining during the first four months of this year was over 6 per cent.

Demand prospects over the coming year will be heavily influenced by the policy measures just described. Even if wage and salary demands are enlarged in an attempt to compensate for the rise in prices (the retail price index rose by 2.9 per cent between last December and May of this year), the latter will produce a below-average increase in consumer demand this year. Public current expenditure is due to rise quite rapidly again this year, by about 4 per cent in volume; and with investment expenditure in the public sector on a rising trend, a further increase comparable to the 9 per

cent rise through last year is in prospect. Private investment demand, according to the end-year Board of Trade survey, is due to rise again by a substantial amount this year (10 per cent in value on a year-to-year basis and rather less in volume); but, by the end of the year, it is likely that the rate of increase will have slowed down considerably and it may be that by early 1966 a decline will be under way. If exports and imports proceed as hoped, the net result of these trends is likely to be some reduction in the pressure of demand, though this may take some time to be apparent.

b) *Balance of Payments*

The April budget introduced measures to reduce directly the net outflow of long-term private capital to non-sterling area countries. They are expected to reduce investment abroad and to improve the reserves by at least £ 100 million a year. But the working of the corporation tax which will affect all areas, should also reduce net private long-term capital exports.

New, more stringent, exchange control measures have been introduced as regards private direct investment outside the sterling area. In future, foreign exchange will only be provided at the official rate if, in addition to the existing criterion that the short-term balance of payments return must be equal to the capital exported, there is a promise of a substantial continuing return also. As before, firms will be encouraged to raise as much as possible of the funds they need abroad. When foreign exchange at the official rate is refused, the investment currency market — where a premium has to be paid — will be available. The latter market will tend to become tighter, as two further measures will direct part of the funds previously available as investment currency to the official reserves. Thus certain accruals to U.K. residents, including inheritances and gifts of securities, must henceforth be exchanged into sterling at the official rate instead of being sold on the investment currency market. Also, the previous ruling has been ended whereby U.K. residents with holdings of foreign securities were allowed to use the total foreign currency proceeds of sales of such securities for reinvestment in foreign securities, or to sell them as investment currency for investment by other residents in foreign securities. Now the equivalent in investment currency of 25 per cent of the proceeds of sales of such assets will have to be converted into sterling at the official rate.

Other exchange control measures, quantitatively less important, have been introduced: the purchase of property abroad outside the sterling area through the investment currency market is no longer allowed and a self-contained " property currency " market has been re-established; foreign currency allowances for travel abroad will be subject to stricter surveillance to prevent their being used for other purposes; and checks are being made to ensure that receipts from exports are being repatriated promptly.

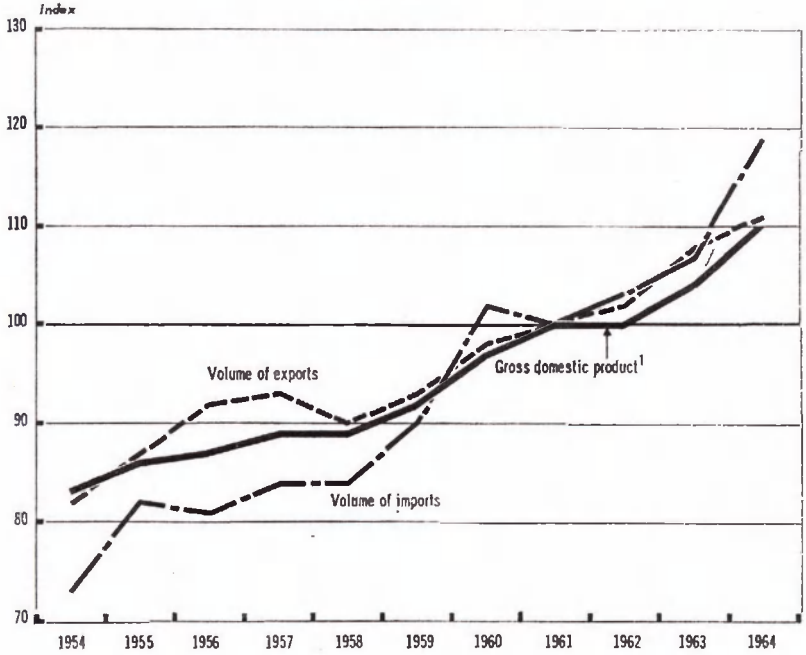
The Chancellor of the Exchequer estimated that the combined revenue effect of changes proposed in the 1965 Finance Bill in the taxation of companies with overseas income might ultimately reach something of the order of £ 100 million. The overall balance of payments effects of the changes are impossible to estimate, but clearly the less favourable tax treatment must operate as a discouragement to marginally profitable overseas investment. The first effect of the introduction of the Corporation Tax will be to make direct investment overseas in those cases where overseas rate is higher than the U.K. Corporation Tax rate somewhat less attractive than hitherto. It will no longer be possible to offset overseas tax on companies against the U.K. personal tax liability. The special tax status of Overseas Trade Corporations is to be withdrawn; but transitional relief is being given to allow companies and shareholders a period for adjustment. Portfolio investment abroad will also be discouraged. Eventually, and subject to re-negotiation of double taxation agreements where appropriate, the relief previously given to U.K. investors in respect of tax paid by a company abroad will be withdrawn.

Investment by foreigners in the U.K. will also be affected. In the case of Portfolio investment, U.K. companies will be liable to corporation tax on their profits at a rate which the Chancellor has said will not exceed 40 per cent; where there is no double-taxation agreement, income tax will be deducted from dividends going to overseas shareholders at the standard rate, but in other cases (which will include most of the important ones) the rate will depend on the provisions of the relevant double-taxation agreement. The Chancellor has announced that the U.K. Government intends to re-negotiate those agreements which unreasonably restrict the U.K.'s rights to impose tax on dividends. The effect of these changes on Portfolio investments from overseas in U.K. companies will depend on the distribution policies of the companies concerned and the rate of tax deductable from dividends. As regards inward direct investment, non-resident companies trading in the U.K. through a branch or agency will no longer be charged income tax and profits tax on the profits attributable to the branch or agency at a rate of 56 1/4 per cent as hitherto; in future profits will be taxed at the U.K. corporation tax rate, which is not likely to exceed 40 per cent, although profits remitted abroad will also be subject to the relevant withholding tax.

In the first quarter of 1965, the balance of payments deficit was appreciably lower than during the second half of 1964 and the current account was approximately in balance (Table 8). Exports began to rise at the end of last year and the rise has continued at a fairly rapid rate. Imports, after levelling out during the closing months of 1964, fell sharply in the first quarter; this was partly due to some temporary distortions and imports have been higher since. Several factors should make for a major improvement in the balance of payments in 1965: imports for ab-

normal stockbuilding added to last year's import bill; there is likely to be a moderate decline (perhaps one per cent) in import prices this year, whereas export prices will no doubt continue to rise and the terms of trade, unlike last year, should swing in favour of the United Kingdom; and the import surcharge will, if maintained, continue to restrict imports below the level they would otherwise have reached. Furthermore the budget measures to dampen demand will reduce demand for imports below what it would otherwise have been; and the long-term capital account (partly on account of the measures described below) should show a smaller net

Diagram 4. THE GROWTH IN GROSS DOMESTIC PRODUCT AND FOREIGN TRADE
1961 = 100



1. Gross domestic product at factor cost, 1958 prices.
Source : Economic Trends.

outflow from now on. Some of these factors will however have a once-for-all effect; and the eventual removal of the import surcharge will later lead to increased imports. These considerations suggest that 1966 will be the real test of policy for restoring external payments equilibrium.

It is encouraging that exports have been rising more rapidly since the last quarter of 1964. In the first five months of 1965 they were 4.5 per cent higher than a year earlier, and 4 per cent more than the average of 1964. Exports to Western Europe have recovered quite sharply and those to the rest of the sterling area have been buoyant. In particular, sales of engineering products which were disappointing last year, have been rising again and the state of order books suggests that there is a backlog of orders to be worked off if capacity is available.

Imports for reasons already given will be lower this year than last, perhaps by about 2.5 per cent. The U.K. authorities consider that the import charge alone could result in a saving of perhaps £ 150-200 million this year. If some improvement in net invisible receipts is achieved this year there is a reasonable prospect that the current account will be nearly in equilibrium in 1965 as a whole. But, for seasonal reasons, the second half of the year may be less favourable than the first. The further substantial progress towards a current account surplus that will be required next year will be difficult to achieve if there is more than a very moderate rise in imports such as can be expected to follow the removal of the import surcharge. There will thus be a continued need to limit the growth of domestic demand.

In the light of the budget and of other measures to deal with the balance of payments, there should now be a reasonable prospect that leads and lags will reverse and thus afford some relief to the reserves. But there will still be an overall balance of payments deficit to finance this year and next until the balance is fully restored. During May, the United Kingdom made a fresh drawing on the I.M.F. for the equivalent of $ 1,400 million and a further $ 40 million was provided by Switzerland under a parallel arrangement. These credits enabled outstanding short-term assistance under the $ 3,000 million credit facilities, amounting to $ 1,097 million, to be repaid.

2. *Major Policy Issues*

The immediate task is to bring the balance of payments back into equilibrium. The Government has fixed itself the objective of achieving balance by the second half of 1966. As the present continuing deficits add to the United Kingdom's already substantial debt commitments it is clearly desirable that the time that elapses before balance is restored should be kept to a minimum. Progress this year towards balance will, of course, have to be judged against the Government's commitment to remove the import charge as soon as possible. The rate of the charge was reduced from 15 to 10 per cent with effect from 27th April. On broad economic grounds, abolition of the import charge is highly desirable.

Table 8. BALANCE OF PAYMENTS

£ *million.*

	1962	1963	1964	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.
I. *Seasonally adjusted:*								
Visible trade	— 98	— 80	— 553	— 126	— 143	— 157	— 127	— 39
Net invisible receipts	+ 188	+ 176	+ 179	+ 49	+ 41	+ 47	+ 42	+ 45
Current account balance	+ 90	+ 96	— 374	— 77	— 102	— 110	— 85	+ 6
II. *Not seasonally adjusted:*								
Current account balance	+ 90	+ 96	— 374	— 54	— 60	— 182	— 78	— 7
Long-term capital (net)	— 107	— 174	— 371	— 86	— 114	— 69	— 102	— 90
Balance of current and long-term capital transactions	— 17	— 78	— 745	— 140	— 174	— 251	— 180	— 97
Balancing item	+ 109	— 73	+ 1	+ 45	+ 17	+ 11	— 72	— 31
Miscellaneous capital	+ 126	— 39	+ 55	+ 11	+ 35	— 2	+ 11	— 5
Liabilities in non-£ currencies (net)[1 2]	—	— 17	+ 138	+ 35	+ 55	+ 36	+ 12	+ 147
External sterling liabilities:								
Total[3]	— 23	+ 149	— 144	+ 50	+ 78	+ 81	— 353	— 157
of which: Sterling area countries	+ 37	+ 170	— 44	+ 51	+ 72	+ 8	— 175	— 84
Non-sterling area countries	— 86	— 37	— 107	+ 1	+ 10	+ 75	— 193	— 59
International organisations	+ 26	+ 16	+ 7	— 2	— 4	— 2	+ 15	— 14
Total to be financed	+ 195	— 58	— 695	+ 1	+ 11	— 125	— 582	— 143
Central bank assistance:								
— as non-sterling currency deposits	—	—	+ 72	—	—	+ 59	+ 13	+ 28
— as sterling/non-sterling currency swaps	—	—	+ 144	—	+ 5	+ 7	+ 132	+ 120
IMF drawings	— 379	+ 5	+ 357	—	—	—	+ 357	—
Gold and currency reserves[4]	+ 184	+ 53	+ 122	— 1	— 16	+ 59	+ 80	— 5

1. **Excluding central bank assistance.**
2. **Included in "Miscellaneous Capital" before 1963.**
3. **Excluding I.M.F. drawing and central bank assistance in the of sterling/non-sterling currency swaps.**
4. **+ = fall; — = rise.**

Source **: Economic Trends.**

A further substantial strengthening of the balance of payments will be necessary after 1966. Servicing of the debt to the I.M.F. will call for an annual surplus of the order of £ 200 million in the years 1967-70. Moreover, it is highly desirable, as a longer-term objective, that the United Kingdom should build up reserves to a more adequate level. The need to strengthen the balance of payments must therefore be seen as a continuing one for many years beyond the immediate emergency.

The magnitude of the swing needed in the balance of payments will clearly imply prudent management of the economy this year and in 1966. Several factors, some of which were exceptional, contributed to the U.K.'s balance of payments difficulties in 1964. The rapid increase in total demand was, however, the most important. When scope for reflationary measures exists once more it will be important to avoid a repetition of the experience of recent years. The attempt, since 1962, to reach too rapidly an over-ambitious growth target did not, in the event, promote faster longer-term growth because it rendered inevitable a subsequent reduction in demand to restore external balance. It will be necessary for the future to encourage the achievement of faster and steadier growth as part of a long-term strategy and to pay more attention to the delayed secondary effects of reflationary policies.

Demand management also has a contribution to make to the task of improving the competitive position of the United Kingdom compared with other countries. The new prices and incomes policy needs to be aimed not only at moderating the rise in costs and prices, but at creating a situation in which they rise markedly less rapidly than in the other main manufacturing countries. For this to be achieved, and to have results on the trend of exports and imports, many years of continued efforts may be needed. Its achievement is unlikely unless the prices and incomes policy is supported, on a continuing basis, by prudent management of internal demand running the economy with less pressure upon resources than prevailed early in 1965. Past experience has shown that with unemployment below 1.5 per cent, it is not realistic to hope to stabilise prices.

It must be expected that the impact of the new prices and incomes policy will be limited this year. Part of the increases in costs that have already taken place since 1964 or which are due to take place as a result of forward wage commitments, have still to work through to prices; and it would be unrealistic to expect the agreed norm of 3 to 3.5 per cent for increases in income to be observed immediately in all cases. It would be unfortunate if the potential longer-term benefits of the new policy were jeopardised by expecting too much immediately.

Other longer-term reforms of a structural character are highly desirable. The Government has put into effect a number of measures to improve the quality and the flexibility of the labour supply. Training faci-

lities for apprentices and adult workers are being expanded under a new scheme that makes the contribution of employers compulsory. It is hoped that the introduction, this year, of severance payments to compensate for loss of employment will reduce resistance by workers to technological cahnge. On the employers' side, more attention is being paid to improving the quality of management and the Economic Development Committees (the Little Neddies) are studying, for the main branches of industry, ways of improving the efficiency of firms. The regional development schemes being brought forward for the major areas of the country should facilitate the adoption of a more differentiated approach to the problems of each region than has been the case in the past. In certain basic sectors — particularly rail transport and the ports — rationalisation and modernisation schemes need to be pursued with vigour. Legislation on monopolistic and restrictive trading practices is being extended and reinforced; it should be used to the full, particularly so long as, for balance of payments reasons, it is not possible to expose United Kingdom industry to the beneficial effects of increased competition from abroad.

But these longer-term changes will take time to have a significant impact and probable growth potential of the economy must be viewed realistically. No good purpose would be served by basing policy on a growth rate which it would be beyond the capacity of the economy to sustain. The present rate of growth of capacity is probably 3-3.5 per cent, compared with the figure of 4 per cent per annum for the period 1961-66 put forward in 1962 by the National Economic Development Council as the medium-term growth target. Recent experience has suggested that the target for that period was too high; hence the Plan for 1964-70 now being prepared by the Government aims at achieving a 4 per cent growth rate only towards the end of the decade. There is some evidence that the underlying rate of growth of productivity has been rising; it would be reasonable to expect that, as the various longer-term measures to improve efficiency take effect, they will gradually push it up further.

SUMMARY AND CONCLUSIONS

The Government's goal of reaching overall balance of payments equilibrium by the end of 1966 is not an easy one. The need to achieve it is dictated by the fact that the margin for manœuvre is limited and large external debt obligations have already been contracted. Its achievement will depend upon the readiness to persevere with existing policies and to reinforce them if need be shown.

Immediate and important relief can be expected from the Government's decision to reduce the net long-term outflow of private capital. This is unfortunate on some counts; but without this saving a far more

radical policy for strengthening the current account would have been needed. As it is, the current account has very substantially to be improved to enable a start to be made on repaying recent borrowings after 1966. The improvement early this year was facilitated by certain factors that are unlikely to recur.

For some time to come a larger share of production than in the past will have to be exported, and the growth of domestic expenditure adjusted in consequence. Since it is desirable that productive investment should suffer as little as possible, the main burden of the adjustment will probably have to be borne by consumption expenditure. A higher ratio of exports to output is urgently needed to restore the balance of payments to equilibrium and to reduce the extent to which a weak external position constitutes a persistent constraint on domestic growth prospects. If this can be achieved, it may well indirectly benefit the trend in productivity since a faster rate of growth of exports will call upon the most dynamic sectors of the economy.

The problem for the United Kingdom is not solely to correct the present crisis. The correction of the underlying weakness of the balance of payments that has been a persistent feature of the economy will require many years of continued efforts. The experience of recent years suggests certain lessons.

The attempt, after 1961, to reflate the economy and to reach a steady and sustainable rate of growth of output had disappointing results. The pressure and pattern of demand generated by the expansionary measures taken in 1962 and 1963 proved too great for price stability and balance of payments equilibrium to be maintained. By the second half of 1964 a renewed deflation of demand had therefore become unavoidable. The lessons of this experience would seem to be first, that more attention should be paid to the dangers of trying to reflate too far and too fast; the U.K. has suffered not from too much stop-go, but rather from too much go-stop. Second, more weight should be given to the need to act in time when taking corrective measures in either direction and to the secondary effects of such measures. Otherwise, in a phase of expansion, supply bottlenecks, leading to pressure on costs and prices and to an overspill of domestic expenditure into excessive demands for imports, are inevitable.

While the latest crisis has directed attention to the need for a more careful management of demand in the short-term, it has also reinforced the need for long-term measures to correct the underlying weakness of the balance of payments position. The United Kingdom's competitive position compared with that of other industrial countries has to be improved. The efforts being made to improve the flexibility and quality of the labour force, to raise the level of managerial and technological skills and to reduce disparities in development between regions should all foster efficiency and growth. At the same time, it should be borne in mind that

a too low pressure of demand might lessen incentives to develop automation and to eliminate restrictive practices in industry and thus slow down the growth of productivity. The present need for retrenchment as regards the growth of domestic expenditure should not therefore be allowed to hinder the implementation of the longer-term plans to improve efficiency.

The prices and incomes policy is of the highest importance; success in this field would make a major contribution to achieving sustainable growth for the medium-term. The aims of the prices and incomes policy are unlikely to be achieved unless the economy is run with a lower pressure of demand than that prevailing recently and in previous peak periods. And in present conditions, with the effects of recent large injections of increased costs still to work through to prices and with incomes continuing to rise well beyond the medium-term norm, substantial immediate effects on prices and costs cannot be expected. Consequently the attempt to influence prices and incomes should not be adjudged a failure on the basis of short-term trends. Success can only be expected to come gradually.

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STATISTICAL ANNEX

Table I. GROSS DOMESTIC PRODUCT

£ *million* 1958, *prices.*

	GROSS DOMESTIC PRODUCT AT FACTOR COST[1]	FINAL EXPENDITURE ON GOODS AND SERVICES AT MARKET PRICES						IMPORTS OF GOODS AND SERVICES	ADJUSTMENT TO FACTOR COST
		TOTAL	CONSUMERS' EXPENDITURE	PUBLIC AUTHORITIES' CURRENT EXPENDITURE	GROSS FIXED CAPITAL FORMATION AT HOME	VALUE OF PHYSICAL INCREASE IN STOCKS AND WORK IN PROGRESS	EXPORTS OF GOODS AND SERVICES		
1960	21,721	30,261	16,606	3,835	4,122	592	5,106	5,488	3,052
1961	22,480	31,018	16,973	3,993	4,483	319	5,250	5,443	3,095
1962	22,630	31,274	17,295	4,102	4,441	101	5,335	5,546	3,098
1963	23,482	32,524	18,035	4,189	4,583	152	5,565	5,752	3,290
1964	24,803	34,553	18,707	4,294	5,318	484	5,750	6,263	3,487
Seasonally adjusted :									
1962 : 1st quarter	5,589	7,708	4,279	1,017	1,109	— 1	1,304	1,354	765
2nd »	5,696	7,850	4,317	1,023	1,119	37	1,354	1,377	777
3rd »	5,681	7,877	4,321	1,030	1,121	69	1,336	1,415	781
4th »	5,664	7,839	4,378	1,032	1,092	— 4	1,341	1,400	775
1963 : 1st »	5,651	7,798	4,393	1,042	1,012	— 20	1,371	1,371	776
2nd »	5,862	8,107	4,490	1,040	1,137	47	1,393	1,420	825
3rd »	5,869	8,183	4,556	1,049	1,197	— 2	1,383	1,476	838
4th »	6,100	8,436	4,596	1,058	1,237	127	1,418	1,485	851
1964 : 1st »	6,127	8,540	4,682	1,056	1,278	88	1,436	1,548	865
2nd »	6,157	8,580	4,617	1,071	1,309	153	1,430	1,568	855
3rd »	6,190	8,634	4,676	1,065	1,342	119	1,432	1,574	870
4th »	6,329	8,799	4,732	1,102	1,389	124	1,452	1,573	897

1. Equals total final expenditure on goods and services at market prices *less* imports of goods and services *less* taxes on expenditure *plus* subsidies.

Source : Economic Trends.

Table II. GROSS FIXED DOMESTIC CAPITAL FORMATION

£ million, at 1958 prices.

	TOTAL	PUBLIC SECTOR[1]			PRIVATE SECTOR			MANUFACTURING	BY TYPE OF ASSET		
		TOTAL	DWELLINGS	OTHER	TOTAL	DWELLINGS	OTHER		PLANT AND MACHINERY	TRANSPORT EQUIPMENT	BUILDINGS AND WORKS
1960	4,122	1,648	278	1,370	2,474	484	1,990	1,016	1,487	655	1,980
1961	4,483	1,742	282	1,460	2,741	527	2,214	1,195	1,684	612	2,187
1962	4,441	1,812	317	1,495	2,629	515	2,114	1,098	1,654	524	2,263
1963	4,583	1,951	352	1,599	2,632	512	2,120	987	1,742	554	2,287
1964	5,318	2,307	463	1,844	3,011	625	2,386	1,110	1,960	631	2,727
Seasonally adjusted :											
1962 : 1st quarter	1,109	451	73	378	658	127	531	291	418	136	555
2nd »	1,119	451	79	372	668	132	536	284	416	136	567
3rd »	1,121	457	86	371	664	133	531	267	410	126	585
4th »	1,092	453	79	374	639	123	516	256	410	126	556
1963 : 1st »	1,012	412	59	353	600	90	510	239	409	134	469
2nd »	1,137	479	90	389	658	133	525	252	425	134	578
3rd »	1,197	523	100	423	674	143	531	245	447	140	610
4th »	1,237	537	103	434	700	146	554	251	461	146	630
1964 : 1st »	1,278	573	114	459	705	147	558	264	470	159	649
2nd »	1,309	566	118	448	743	155	588	278	480	154	675
3rd »	1,342	579	117	462	763	161	602	276	496	161	685
4th »	1,389	589	114	475	800	162	638	292	514	157	718

1. **Including public corporations.**

Source : **Economic Trends.**

TABLE III. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1961	1962	1963	1964	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th. QTR.	1965 1st QTR.
Industrial production[1] (1958 = 100):									
All industries	113.9	115.0	119.0	128.2	127	128	128	130	132
Manufacturing	114.8	115.3	119.9	129.5	128	129	129	132	133
Engineering and allied industries	113	115	119	128	127	127	127	130	132
Construction	120	121	121	135	133	135	136	137	139
Mining	93	95	95	95	96	95	95	95	96
Manpower[2]:									
Total civil employment[3] ('000)	23,989	24,166	24,183	24,458	24,257	24,458	24,619	24,624	24,370
Total industrial employment[1] (1958 = 100)	104.0	103.6	102.4	104.1	103.3	103.8	104.5	104.7	
Unemployment[1 4 5] ('000)	377	500	612	410	439	404	415	378	362
Unemployment as percentage of employees[6] (%)	1.52	2.03	2.50	1.65	1.80	1.63	1.67	1.48	1.40
Unfilled vacancies[3] ('000)	320	214	196	317	294	309	321	342	378
Average weekly hours[7] (1958 = 100)	98.5	97.6	97.4	98.2	98.1	98.3	98.4	98.0	
Orders:									
Engineering industry (1958 = 100):									
New orders:									
— home market	123	117	137	153	150	163	138	156	163
— exports	122	128	143	151	134	151	148	169	174
Engineering and electrical industries, orders on hand (end of period) (Dec. 1958 = 100):									
— home market	120	114	137	161	143	153	157	161	169
— exports	127	130	145	165	144	147	158	165	175
Metal-working machine-tools, orders on hand[1] (end of period) (£ *million*)	118.1	89.0	69 6	87.5	72.8	74.6	80.8	87.5	91.4
Construction:									
Industrial building, area approved[3] (*mill.sq.ft.*)	48.5	31.9	33.3	50.6	11.4	13.6	12.7	12.8	
House building starts ('000)	320	333	377	436	103	117	106	111	99
New orders obtained by contractors[3] (£ *million*)	2,107	2,243	2,535	2,993	720	758	744	771	816
Stocks[1 8] (*Value of physical increase £ million, 1958 prices*):									
Manufacturing	230	33	89	332	79	126	77	50	58
Wholesale and retail distribution	65	36	84	91	5	17	23	46	— 7
Consumption[1]:									
Value of retail sales (1961 = 100)	100	103	108	113	111	112	114	117	119
Volume of retail sales (1961 = 100)	100	100	103	106	105	105	106	107	108
Passenger cars, new registrations ('000 *quarterly rates*)	186	197	253	298	307	289	292	305	335

1. Seasonally adjusted.
2. Great Britain only.
3. Annual figures relate to June, quarterly figures to last month in quarter.
4. United Kingdom, wholly unemployed and temporarily stopped.
5. OECD seasonal adjustment.
6. NIESR seasonally adjusted unemployment figures (Gt. Britain only) calculated as percentage of number of employees in May of each year.
7. Operatives in manufacturing.
8. For total stock movements see Table 1 of Annex.

Source : Monthly Digest of Statistics, Board of Trade journal, NIESR Economic Review, OECD Main Economic Indicators.

Table IV. INCOMES, COSTS, PRICES AND PRODUCTIVITY

	1960	1961	1962	1963	1964	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.
Wages and profits:										
Weekly wage rates, all industries and services (31st January 1956 = 100)	120.0	125.0	129.6	134.3	140.5	138.4	139.9	141.4	142.3	144.1
Hourly earnings[1] in manufacturing (in pence), adult men	76.8	81.5	84.9	88.7	95.5		92.8		95.5	
Income from employment[2] (1958 = 100)	112.4	121.5	128.0	134.2	144.9	141.7	143.7	145.4	148.7	
Profits of companies and public corporations[2] (1958 = 100)	128.4	128.4	133.0	145.8	163.7	161.4	164.2	165.4	163.6	
Unit costs[2] (1958 = 100):										
Income from employment per unit of output	102.2	108.5	112.8	114.5	117.2	115.5	116.8	117.8	118.6	
Property income per unit of output	110.5	110.4	112.2	116.4	120.3	118.9	120.7	121.6	119.9	
Prices[3]:										
Non-food manufacturing industry (1954 = 100):										
Prices of basic materials and fuels used	104.5	104.4	103.0	104.5	108.6	107.9	107.8	108.6	109.0	109.9
Prices of manufactured products, home market sales	116.0	119.1	120.6	122.0	125.4	124.0	125.0	125.8	127.0	128.3
Building costs (1954 = 100)	114	118	122	126	129	127	128	129	131	131
Retail prices (January 1962 = 100):										
All items	—	—	101.6	103.6	107.0	104.9	106.8	107.7	108.6	109.6
Food	—	—	102.3	104.8	107.8	105.5	108.1	108.6	109.1	110.2
Productivity[2] (1958 = 100):										
Gross domestic product per person employed	108	109	110	113	118	118	118	118	119	
Output per man-hour in manufacturing	110	110	113	119	125	125	125	124	127	

1. Annual figures are for October; others for April or October of period.
2. Seasonally adjusted.
3. Monthly averages.

Source : Monthly Digest of Statistics, Statistics on Incomes, Prices, Employment and Production, and NIESR Economic Revies.

Table V. MONEY AND BANKING

	1960	1961	1962	1963	1964	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.
Bank rate (end of period) (*per cent*)	5	6	4.50	4	7	5	5	5	7	7
Treasury Bill rate of discount[1] (*per cent*)	4.89	5.14	4.17	3.67	4.59	4.30	4.46	4.65	6.63	6.55
Average yield of 2 1/2 per cent Consols[2] (*per cent*)	5.42	6.20	5.98	5.58	6.03	5.95	6.11	6.04	6.25	6.32
Currency circulation with the public (£ *million*)	2,062	2,151	2,161	2,220	2,340	2,293	2,341	2,358	2,463	2,439
New capital issues (gross) (£ *million*)	573.5	698.8	638.1	655.2	749.8	250.1	198.1	196.1	105.5	185.1
Hire-purchase debt outstanding[3] (end of period) (£ *million*)	935	934	887	959	1,115	987	1,042	1,084	1,115	1,139
New hire-purchase credit extended (during period) (£ *million*)	820	822	761	853	1,025	240	273	256	256	256
London Clearing Banks[4]:										
Current accounts (£ *million*)	4,207	4,157	4,186	4,486	4,836	4,687	4,744	4,873	4,986	4,800
Time deposits (£ *million*)	2,515	2,638	2,747	2,781	2,922	2,815	2,882	2,967	3,079	3,155
Other deposits (£ *million*)	513	600	678	704	791	732	730	770	931	767
Total liquid assets (£ *million*)	2,299	2,437	2,546	2,535	2,589	2,449	2,502	2,605	2,754	2,571
Total liquid assets (% *of deposits*)	31.8	33.0	33.5	31.8	30.3	29.7	29.9	30.3	30.6	29.5
Investments (£ *million*)	1,407	1,122	1,194	1,244	1,220	1,201	1,221	1,218	1,179	1,048
of which : Government securities (£ *million*)	1,277	1,009	1,082	1,128	1,098	1,079	1,097	1,095	1,056	924
Investments (% *of deposits*)	19.5	15.2	15.7	15.6	14.3	14.6	14.6	14.2	13.1	12.0
Advances (£ *million*)	3,123	3,357	3,408	3,880	4,328	4,216	4,265	4,438	4,538	4,671
Advances (% *of deposits*)	43.2	45.4	44.8	48.7	50.6	51.2	51.0	51.6	50.4	53.6
Net deposits[5] (£ *million, seasonally adjusted*)	—	—	7,215	7,620	8,110	7,740	7,790	8,000	8,110	8,155
Advances (other than to nationalised industries) (£ *million, seasonally adjusted*)	—	—	3,545	4,020	4,595	4,070	4,175	4,385	4,595	4,560

1. Annual figures are averages of weekly tenders; quarterly figures are end of period.
2. Quarterly figures are averages of last month in quarter.
3. Great Britain only.
4. Annual figures are monthly averages, quarterly figures are for third Wednesday of last month in each quarter.
5. Last month in period.

Source : Financial Statistics.

TABLE VI. UNITED KINGDOM LIABILITIES AND CLAIMS IN STERLING

£ million.

	1962	1963				1964				1965
	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.
End of period :										
U.K. liabilities	4,386	4,346	4,411	4,515	4,659	4,810	4,889	4,978	5,155	5,184
— current and deposit accounts	1,539	1,539	1,601	1,718	1,745	1,903	1,895	1,962	1,764	1,763
— U.K. treasury bills[1]	1,606	1,571	1,607	1,577	1,701	1,677	1,769	1,786	2,091	2,073
— commercial bills and promissory notes	56	51	50	56	67	70	70	69	72	73
— British Government stocks	1,185	1,185	1,153	1,164	1,146	1,160	1,155	1,161	1,228	1,275
U.K. claims	843	906	915	929	961	1,063	1,058	1,064	1,097	1,163
— advances and overdrafts	320	358	342	354	351	398	375	409	425	466
— commercial bills and promissory notes	346	362	369	374	400	424	424	418	447	471
— acceptances	177	182	204	201	210	241	259	237	225	226
Net liabilities	3,543	3,440	3,496	3,586	3,698	3,747	3,831	3,914	4,058	4,021

1. Including non-interest bearing notes.

Source : Bank of England Bulletin.

Table VII. FOREIGN TRADE

Seasonally adjusted.

	1959	1960	1961	1962	1963	1964	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.
Imports (£ *million*):											
Value (*monthly averages*)	332	378	366	374	401	475	469	477	476	478	458
Index of volume (1961 = 100)	90	102	100	103	107	119	117	120	120	119	114
Unit value index (1961 = 100)[1]	102	102	100	99	103	107	107	106	106	107	107
By type (*monthly average*):											
— food, beverages and tobacco	127	128	124	131	140	147	151	146	152	143	132
— crude materials, oils and fats	78	89	84	77	83	93	93	94	91	96	93
— fuels	39	40	40	44	46	49	48	50	48	51	53
— semi-processed manufactures	56	76	70	70	76	110	105	111	113	113	106
— finished manufactures	31	43	46	50	54	69	68	71	70	69	65
Exports (£ *million*):											
Value (*monthly averages*)	278	296	307	316	340	368	367	365	363	377	383
Index of volume (1961 = 100)	93	98	100	102	108	112	113	111	109	113	115
Unit value index (1961 = 100)[1]	98	100	100	101	104	106	105	106	107	107	108
Manufactures, value (*monthly averages*)	232	248	257	263	281	307	304	305	306	314	322
Share of United Kingdom in world exports of manufactures %[1]	17.2	15.9	15.7	15.1	14.9	13.7	14.8	14.0	13.1	12.8	
Exports by area:											
— Sterling Area	112	119	117	112	121	128	127	124	128	133	136
— North America	47	45	42	44	43	50	47	48	50	52	52
— EEC	39	43	51	60	69	75	76	77	71	74	74
— EFTA	32	36	40	43	46	52	51	53	51	52	56
— Rest of World	48	52	57	57	61	63	66	63	63	67	65
Terms of trade (1961 = 100)[1, 2]	96	97	100	102	101	99	98	99	101	100	100

1. Not seasonally adjusted.
2. Export unit value index as percentage of import unit value index.

Source : Report on Overseas Trade, Board of Trade Journal.

Table VIII. BALANCE OF PAYMENTS

£ *million.*

	1959	1960	1961	1962	1963	1964	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.
Imports, f.o.b.	3,638	4,137	4,041	4,092	4,367	5,024	1,084	1,159	1,252	1,261	1,221	1,290	1,227
Exports and re-exports, f.o.b.	3,522	3,733	3,892	3,994	4,287	4,471	1,017	1,126	1,126	1,153	1,030	1,162	1,140
Visible balance	— 116	— 404	— 149	— 98	— 80	— 553	— 67	— 33	— 126	— 108	— 191	— 128	— 87
— seasonally adjusted							— 33	— 46	— 126	— 143	— 157	— 127	— 39
Invisibles (net)	+ 256	+ 129	+ 127	+ 188	+ 176	+ 179	+ 24	+ 26	+ 72	+ 48	+ 9	+ 50	+ 80
— seasonally adjusted							+ 32	+ 45	+ 49	+ 41	+ 47	+ 42	+ 45
— *of which,* Government	— 233	— 286	— 335	— 363	— 387	— 431	— 100	— 95	— 121	— 107	— 102	— 101	— 103
Other[1]	+ 489	+ 415	+ 462	+ 551	+ 563	+ 610	+ 124	— 121	+ 193	+ 155	+ 111	+ 151	+ 183
Current balance	+ 140	— 275	— 22	+ 90	+ 96	— 374	— 43	— 7	— 54	— 60	— 182	— 78	— 7
— seasonally adjusted							— 1	— 1	— 77	— 102	— 110	— 85	+ 6
Long-term capital account	— 259	— 188	+ 50	— 107	— 174	— 371	— 35	— 57	— 86	— 114	— 69	— 102	— 90
— official	— 124	— 102	— 45	— 104	— 105	— 120	— 25	— 59	— 28	— 20	— 28	— 44	— 14
— private	— 135	— 86	+ 95	— 3	— 69	— 251	— 10	+ 2	— 58	— 94	— 41	— 58	— 76
Current and long-term capital balance	— 119	— 463	+ 28	— 17	— 78	— 745	— 78	— 64	— 140	— 174	— 251	— 180	— 97
Balancing item	— 54	+ 273	— 8	+ 109	— 73	+ 1	+ 4	— 58	+ 45	+ 17	+ 11	— 72	— 31
Monetary movements	+ 173	+ 190	— 20	— 92	+ 151	+ 744	+ 74	+ 122	+ 95	+ 157	+ 240	+ 252	+ 128
— miscellaneous capital (net)	+ 46	+ 119	— 8	+ 126	— 39	+ 55	+ 2	— 13	+ 11	+ 35	— 2	+ 11	— 5
— change in liabilities in non-sterling currencies (net)[2]	—	—	—	—	— 17	+ 210	— 11	— 2	+ 35	+ 55	+ 95	+ 25	+ 175
— change in external sterling liabilities (net)	+ 133	+ 397	— 356	— 23	+ 149	— 2	+ 89	+ 109	+ 50	+ 84	+ 87	— 223	— 31
— change in official holdings of non-convertible currencies	+ 8	+ 2	+ 1	+ 1	—	—	—	—	—	—	—	—	—
— change in account with IMF	— 133	— 151	+ 374	— 379	+ 5	+ 359	+ 2	—	—	— 1	+ 1	+ 359	— 6
— gold and convertible currency holdings.	+ 119	— 177	— 31	+ 183	+ 53	+ 122	— 8	+ 28	— 1	— 16	+ 59	+ 80	— 5

1. Including some official transactions, particularly in respect of interest, profits and dividends.
2. Included in " Miscellaneous Capital " before 1963.

Source : Economic Trends.

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